

STATEMENT OF ADVICE

Prepared for Greg and Alison

Advice Type: Comprehensive Date: 23 April 2026

Prepared by

<Your Company Name>

Australian Financial Services Licensee

ABN: XX XXX XXX XXX | AFSL No. XXXXXX

enquiries@your-licensee.com.au

This Statement of Advice is current for 30 days from the date of issue. If you do not act within this period, contact us before proceeding as circumstances or legislation may have changed.

Cover Letter

23 April 2026

Dear Greg and Alison,

Thank you for entrusting us with your financial planning needs during this significant transition in your lives. Greg recently suffered a stroke and is living with dementia, necessitating a move into residential aged care. You are facing the challenge of funding high care costs while Alison wishes to remain in the family home and maintain her current lifestyle. The household is asset-rich due to the home and superannuation, but you are currently cashflow-poor, especially with the added expenses of caring for your five dogs. The strategy outlined in this advice is designed to protect Greg's residential aged care placement, preserve the family home as a legacy asset, and ensure Alison's financial security without compromise on any stated objective. Our goal is to provide you with a comprehensive strategy that addresses your immediate needs while supporting your long-term financial well-being.

While you are asset rich, your current cashflow is insufficient to cover both Greg's aged care costs (totalling approximately \$42,888.80 per annum, comprising the Basic Daily Care Fee, Hotelling Supplement Contribution, and Non-Clinical Care Contribution) and Alison's \$80,000.00 annual living expenses — a combined household requirement of approximately \$122,888.80 per annum. Alison contributes \$25,000.00 per annum from employment income toward this requirement.

Enclosed is your Statement of Advice and related documents, prepared based on our recent discussions. Please review and contact us with any questions or if you feel we've missed or misunderstood any information.

This advice is a crucial first step in achieving your financial goals. Regular reviews of your strategy will be essential moving forward.

Note that this Statement of Advice is valid for 30 days from the date of this letter. After this period, please consult us before implementing any recommendations, as circumstances may have changed.

We're here to address any queries about this advice or other financial planning matters. Don't hesitate to reach out.

Best regards,

Your Financial Adviser

Authorised Representative — XXX Financial Planning Pty Ltd | AFSL No. XXXXXX

Statement of advice

Prepared for

Greg & Alison

Prepared by

<Advisor name>

Authorised Representative Number: XXXXXX <Practice address>

Authorised Representative of

<Dealer Group>

ABN: XXXX Australian Financial Services Licensee Licence No. XXXX

Head office:

<Dealer Group Address>

23 April 2026

This Statement of Advice (SOA) is crucial. Read it carefully before making decisions. Our recommendations are based on the information you provided. Please inform us of any errors or omissions.

Incomplete information or limited scope may result in unsuitable recommendations. For recommended financial products, you'll receive a product disclosure statement to aid your decision.

Note: This advice is valid for 30 days. If not implemented within this period, it will need review.

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Executive Summary

SUMMARY OF RECOMMENDATIONS

FOR THE SHORT TERM — UP TO ONE YEAR

1. Pay the \$550,000 Refundable Accommodation Deposit (RAD) in full -> this eliminates \$43,780 in annual Daily Accommodation Payment (DAP) interest charges and increases Greg's Age Pension to \$24,724 per year. This strategy is structured around Greg's primary goal of Maximize Pension.

2. Notify Centrelink of Greg's entry into residential care and your illness-separated status -> this secures Greg's Age Pension of \$24,724 per year (Alison is not yet eligible for Age Pension).

RAD Funding: The deposit is funded by a \$450,000 full commutation of Greg's Account-Based Pension and a \$100,000 partial commutation of Alison's Account-Based Pension.

FOR THE MEDIUM TERM — ONE TO FIVE YEARS

1. Cashflow sustainability: Your household's ongoing annual outflows of \$122,889 (covering Alison's living expenses and Greg's aged care fees) will be funded through Greg's Age Pension receipts, Alison's employment income, and a structured drawdown from your remaining superannuation. The Year 1 total outflow is \$122,889, and we have confirmed the drawdown strategy covers the \$73,164 shortfall after your income is applied.

2. Asset protection: The family home remains a non-assessable protected asset throughout the projection horizon. We will conduct annual reviews to monitor the sustainability of the drawdown rate against Alison's remaining superannuation balance to ensure long-term security.

ESTATE PLANNING & LEGACY

1. Estate Preservation: This strategy is designed to preserve the estate by treating the RAD as a capital transfer rather than a cost. Upon Greg's passing, the RAD is returned to the estate, net of the facility's retention. We project the combined liquid estate balance at the time of the RAD refund to be \$412,267.34. Greg and Alison must review their Wills and Enduring Powers of Attorney immediately to reflect Greg's changed health status and this asset restructure.

ONGOING REVIEW AND ADVICE

We propose annual reviews of your financial situation with us to ensure this strategy remains appropriate and to make any necessary adjustments as your circumstances change or legislative updates occur.

EXPECTED OUTCOMES

If we implement this strategy together, we anticipate the following outcomes based on your current circumstances and legislative frameworks:

By paying the \$550,000 RAD in full, we eliminate the daily interest cost and significantly improve Greg's Age Pension by \$16,901 per year. The family home is protected as a non-assessable asset, and Alison's lifestyle budget of \$80,000 is maintained through a combination of her salary, Greg's increased pension, and structured superannuation drawdowns. The majority of the RAD capital remains preserved for the estate.

We project this strategy to be sustainable for your defined medium-term horizon, after which a comprehensive review will be required.

FEES OVERVIEW

Our fees for preparing this document and guiding you through implementation are set out below. Full remuneration disclosure, including any commissions or other benefits received, is provided in Section 8 — Remuneration & Fees.

OUR FEE STRUCTURE

DESCRIPTION	VALUE
Upfront Advice Fee (incl. GST)	\$3,300.00
Ongoing Annual Advice Fee (incl. GST)	\$5,500.00
Commissions Received	Nil
Other Benefits	Nil

Full remuneration disclosure is provided in Section 8 — Remuneration & Fees.

RISKS IN OUR ADVICE

While this strategy has been engineered to protect your wealth and achieve your goals, all financial decisions carry inherent trade-offs. It is vital you understand the specific risks to this approach:

- **Inflation risk:** If living costs or aged care fees rise faster than the Age Pension indexation, the superannuation drawdown may need to increase.
- **Regulatory risk:** Changes to Age Pension means-testing or aged care funding rules could impact the long-term sustainability of the plan.
- **Liquidity risk:** Accessing capital for large one-off expenses may be limited as significant funds are tied up in the RAD and the family home.

MARKET & LEGISLATIVE REALITY

Future changes to government legislation (including Age Pension rules and Aged Care fees) may impact the projections in this document.

The value and income of your investments and superannuation assets can fluctuate due to the natural ups and downs of the market.

Should your personal circumstances change, please contact us for a review before acting on this advice.

Actual returns are not guaranteed and could potentially be quite different from the projections we've outlined.

2 SECTION

Scope of Advice

Financial decisions are rarely just about numbers; they are about securing your peace of mind and protecting the people you care about. Every major life transition comes with financial complexity. Our role is to absorb that complexity so you can focus on what truly matters—your family, your well-being, and your future.

This document outlines the strategic pathways we have developed to protect your wealth and align it with your life's objectives. Specifically, this advice has been engineered to cover:

Your Financial Trajectory: A detailed, mathematical analysis of your cash flow, income, and asset longevity to ensure your lifestyle remains secure.

Aged Care Transition: Structuring the optimal way to fund residential aged care (including the Refundable Accommodation Deposit) while minimizing ongoing daily care fees and preserving family capital.

Centrelink Optimisation: Restructuring your asset and income base to legally and efficiently maximize your Age Pension entitlements.

Wealth & Superannuation Strategy: Optimizing your superannuation structure, investment trajectories, and debt management to build and protect your capital over the long term.

Tax-Effective Structuring: Modelling your tax position to identify structural efficiencies and protect your investable surplus from unnecessary leakage.

Estate Considerations: Strategic guidance on how today's financial decisions will impact the legacy and wealth you leave behind for your loved ones.

Where you will need specialized partners (What is outside this advice): No single professional can be an expert in everything. To ensure you receive the absolute highest standard of care, the following areas fall outside the scope of this document. We strongly recommend engaging the appropriate specialists to complete your protective network:

Legal Advice: While we structure your wealth with your legacy in mind, we cannot draft Wills, Enduring Powers of Attorney, or Guardianship documents. We recommend reviewing these with a qualified solicitor.

Tax Return Preparation: We provide forward-looking strategic tax modelling, but a registered Tax Agent or Accountant must handle your formal ATO lodgements and specific historical tax advice.

General & Health Insurance: The protection of your physical assets (home, contents, vehicles) and private health cover should be reviewed directly with your providers or a general insurance broker.

Specific Product Selection: This document focuses on the structural strategy of your wealth. Unless explicitly stated in the recommendations, this advice does not cover the selection of specific individual shares or managed funds.

A note on accuracy: This strategy is deeply personal and relies entirely on the information we have discussed. Please review this document carefully. If any of the personal details, goals, or financial figures we have captured are incomplete, please let us know immediately so we can ensure this strategy remains perfectly aligned with your life.

3 SECTION

What We Know About You

PERSONAL DETAILS

FIELD	CLIENT	PARTNER
Client Name	Greg	Alison
Age	70	52
Marital Status	Partnered - Illness Separated	Partnered - Illness Separated
Homeowner	Yes	Yes and Yes
Private Health Cover	No	No
Target Retirement Age	—	—
Income (p.a.)	\$0.00	\$25,000.00
Risk Profile	Moderate	Moderate

YOUR CURRENT SITUATION

Greg recently suffered a stroke and is living with dementia, necessitating a move into residential aged care. You are facing the challenge of funding high care costs while Alison wishes to remain in the family home and maintain her current lifestyle. The household is asset-rich due to the home and superannuation, but you are currently cashflow-poor, especially with the added expenses of caring for your five dogs. The strategy outlined in this advice is designed to protect Greg's residential aged care placement, preserve the family home as a legacy asset, and ensure Alison's financial security without compromise on any stated objective.

WHAT YOU WOULD LIKE TO ACHIEVE

1. Maximize Greg's Age Pension entitlement to improve household cashflow.
2. Retain the family home as a protected asset for Alison and your dogs.
3. Eliminate high daily interest charges (DAP) by paying the RAD in full.
4. Ensure Alison has at least \$80,000 per year for her own living expenses.

STRATEGIC CONSTRAINTS & CONSIDERATIONS

The primary constraint is the non-negotiable requirement to retain the family home, which limits the available capital for generating income. We must also maintain a liquidity floor for Alison's ongoing needs while Greg is in care.

YOUR RISK PROFILE & INVESTMENT APPROACH

Based on the information you provided, your investment risk profile has been assessed as: Moderate.

The recommended strategy aligns with your Moderate risk profile. By moving funds from superannuation into a government-guaranteed RAD, we are reducing exposure to market volatility for that portion of your wealth while securing a guaranteed 'return' by eliminating the 8.38% interest cost of the DAP.

Our recommendations are structured to align with this profile. If this assessment does not reflect your attitude to risk, please advise us before implementing any recommendations.

FINANCIAL POSITION

ASSET / LIABILITY	CLIENT	PARTNER	JOINT
			ASSETS
Primary Residence	—	—	\$1,800,000.00
Cash & Bank Accounts	\$0.00	\$0.00	\$260,000.00
Shares & Investments	\$100,000.00	\$0.00	\$0.00
Investment Properties	\$0.00	\$0.00	\$0.00
Superannuation (Accumulation)	\$0.00	\$0.00	—
Superannuation (Pension)	\$450,000.00	\$380,000.00	—
Personal Effects	\$0.00	\$0.00	\$150,000.00
Combined Total Assets			\$3,140,000.00
			LIABILITIES
Mortgage (Primary Residence)	—	—	\$0.00
Investment Loans	\$0.00	\$0.00	\$0.00
Other Debt	\$0.00	\$0.00	\$0.00
Combined Total Liabilities			\$0.00
Combined Net Worth			\$3,140,000.00

BASIS FOR ADVICE

The advice within this Statement is built upon the financial details, goals, and risk profile you shared with us. This advice relies entirely on the personal circumstances and financial information you have provided to us. We have not independently verified this information. If any detail is incorrect, has changed, or has been omitted, you must notify us before acting on this advice, as our recommendations may no longer be appropriate.

Strategy, Waterfall & Rationale

Strategy Mechanics · Calculation Waterfall · Strategic Rationale & Alternatives

03 OUR RECOMMENDATIONS

Strategy & Recommendations

HOW THE STRATEGY WORKS

AGED CARE — STRATEGY & RAD RECOMMENDATION

We recommend paying the \$550,000 Refundable Accommodation Deposit (RAD) in full. This recommendation is appropriate because it eliminates \$43,780 in annual interest costs and satisfies Greg's primary objective of Maximize Pension. In line with the agreed liquidation preference of Super->Cash->Shares, the RAD has been funded by drawing \$450,000 from a full commutation of Greg's Account-Based Pension and \$100,000 from a partial commutation of Alison's Account-Based Pension. This allows the family home to be protected and retained as requested.

AGED CARE — FUNDING THE RAD (SOURCES & APPLICATION)

SOURCE OF FUNDS	AMOUNT	APPLICATION OF FUNDS	AMOUNT
Full commutation of Greg's Account-Based Pension	\$450,000.00	Refundable Accommodation Deposit (RAD)	\$550,000.00
Partial commutation of Alison's Account-Based Pension	\$100,000.00		

AGED CARE — IMPLEMENTATION

1. Provide written notification to the aged care facility of your intention to pay the \$550,000 RAD in full.
2. Execute the full commutation of Greg's Account-Based Pension (\$450,000) and the partial commutation of Alison's Account-Based Pension (\$100,000).
3. Transfer the total \$550,000 to the facility's nominated bank account within the required timeframe.

4. Obtain a formal receipt from the facility confirming the RAD has been paid in full.

AGED CARE — BENEFITS

- Eliminates the \$43,780 annual Daily Accommodation Payment (DAP), which is a non-refundable interest cost.
- The \$550,000 RAD is government-guaranteed and will be returned to the estate (less capped retention) when Greg leaves the facility.
- Reduces Greg's assessable assets for the Age Pension, as the RAD is an exempt asset for pension purposes.

AGED CARE — RISKS

- Reduced liquidity: Once the \$550,000 is paid to the facility, it cannot be easily accessed for other purposes until Greg leaves care.
- Note that Greg retains \$260,000 in personally-held assets that require management under an active Enduring Power of Attorney given Greg's health status. Confirm this is in place before implementation.

AGE PENSION — RECOMMENDATION

By paying the \$550,000 RAD using superannuation, we reduce Greg's assessable assets from \$1,340,000 to \$790,000. This shift, combined with the move to an illness-separated assessment, increases Greg's Age Pension of \$24,724 per year. This restructure significantly improves your household's guaranteed income stream.

AGE PENSION — IMPLEMENTATION

1. Lodge the SA457 (Aged Care — Income and Assets Assessment) with Services Australia to formally notify Greg's entry into residential care and trigger the means-tested fee assessment.
2. Update Greg's Centrelink record to reflect 'Illness Separated' marital status, which activates the more favourable single-rate pension thresholds.
3. Report the reduction in superannuation and cash balances following the RAD payment to ensure the correct post-RAD pension rate is applied from the first eligible fortnight.
4. Confirm with Services Australia that the Daily Accommodation Payment (DAP) charges have been replaced by a nil amount following RAD receipt confirmation from the facility.

AGE PENSION — BENEFITS

- Increases Greg's annual income through a higher Age Pension entitlement of \$24,724.

- Greg retains access to the Pensioner Concession Card, which provides discounts on medicines and utilities.
- The illness-separated assessment allows Greg to be tested against single-person thresholds, which are more generous than couple thresholds.

AGE PENSION — RISKS

- You must continue to meet ongoing Centrelink reporting obligations, including disclosing any material changes to asset values or Alison's income.
- There is a risk of pension reduction if your remaining investment balances or returns improve significantly, pushing you further into the asset test taper.

CASH FLOW — RECOMMENDATION

Your total annual outflows are \$122,889. This is funded by the \$24,724 Age Pension and \$25,000 from Alison's employment income. To bridge the remaining shortfall, a required drawdown of \$73,164 per year will be taken from Alison's remaining superannuation. Greg's Age Pension income is assessed under the Senior Australians and Pensioners Tax Offset (SAPTO), resulting in nil tax payable. This ensures that your combined income and drawdowns effectively cover both Greg's care and Alison's lifestyle needs.

ESTATE — RECOMMENDATION

This strategy preserves the estate for your family by converting superannuation into a refundable deposit. In the event of Greg's passing, the \$550,000 RAD is returned to the estate, net of the facility's retention of 2% per year for up to five years of occupancy. This means the estate retains the substantial majority of the RAD — projected, when combined with remaining assets, to be approximately \$412,267.34. The RAD is not a cost but a capital transfer: once the facility discharges the resident, the deposit is returned to the estate, making it fundamentally different from an ongoing fee. It is essential to update your Wills and Enduring Powers of Attorney immediately. Note that Greg retains \$260,000 in personally-held assets that require management under an active Enduring Power of Attorney given Greg's health status. Confirm this is in place before implementation.

WHAT THIS MEANS FOR YOU — IN PLAIN ENGLISH

The following sections explain these numbers in everyday language.

UNDERSTANDING THE AGED CARE COSTS

To secure Greg's room in the aged care home, we are paying a Refundable Accommodation Deposit (RAD) of \$550,000. Think of this like a bond on a rental property — it is a lump sum that the government guarantees will be returned when Greg leaves the home. We are funding this by using \$450,000 from Greg's super and \$100,000 from Alison's super.

There are also three daily fees to cover Greg's care. The Basic Daily Fee (\$66.80 per day or \$24,382 per year) covers meals, laundry, and cleaning. The Hotelling Supplement (\$22.15 per day or \$8,085 per year) covers the cost of the room and utilities. Finally, there is a Non-Clinical Care Contribution (\$28.55 per day or \$10,422 per year), which is a government-assessed fee based on Greg's assets and income to help pay for his personal care.

By paying the \$550,000 deposit upfront, we have saved the household a significant amount of money. If we didn't pay the deposit, the home would charge a daily interest fee (called a DAP) of \$43,780 per year. By paying the RAD, we eliminate that \$43,780 cost entirely.

The big picture is that Greg's care is now fully funded and secure. Because we have used superannuation to pay the deposit, Alison can stay in the family home with the dogs, and her lifestyle budget remains protected.

YOUR GOVERNMENT AGE PENSION

The Age Pension is a regular government payment to help fund your retirement. Under this plan, Greg's Age Pension will be \$24,724 per year, which is \$951 arriving in your bank account every fortnight. This is money you can rely on to help cover costs without having to do anything.

This amount is increasing because paying the room deposit reduces the assets Centrelink counts. Before we paid the deposit, Centrelink counted \$1,340,000 of your assets. After paying the deposit, they only count \$790,000. Because the government sees you have fewer 'countable' assets, they pay you a higher pension.

We are also using the 'illness-separated' rules. This means that because Greg has moved into care for health reasons, Centrelink treats you as two individuals rather than a couple for pension purposes. This is a more generous way of calculating the payment and is why the rate is higher. Alison is not yet eligible for her own pension, but Greg's increase helps the whole household.

To make this happen, we need to let Centrelink know that Greg has moved into care and that his superannuation has been used for the deposit. We will handle this paperwork and the notification process for you.

ITEM	BEFORE STRATEGY	AFTER STRATEGY
NCCC CALCULATION WATERFALL		
Assessable Assets (ATA)	\$670,000	\$670,000
Asset Free Threshold	\$536,384	\$536,384
Calculated Asset-Tested Amount	\$10,422.05	\$10,422.05
Assessable Income (ITA)	\$30,787.20	\$30,300.20
Income Free Threshold	\$138,340.80	\$138,340.80
Calculated Income-Tested Amount	\$0	\$0
Uncapped Daily NCCC	\$28.55	\$28.55
Final Daily NCCC (after cap)	\$28.55	\$28.55
DAILY CARE FEES		
Daily Accommodation Payment (DAP)	\$119.95	\$0
Hotelling Supplement Contribution (HSC)	\$22.15	\$22.15
Non-Clinical Care Contribution (NCCC)	\$28.55	\$28.55
Basic Daily Care Fee	\$66.80	\$66.80
ANNUAL OUTCOMES		
Total Annual Care Cost	\$86,668.80	\$42,888.80
Age Pension — Before (Greg only)	\$7,823.40	—
Age Pension — After (Greg, illness-separated)	—	\$24,724.40
TAX POSITION		
Taxable Income	\$0	\$0
Total Tax Payable	\$0	\$0
Medicare Levy	\$0	\$0

ITEM	BEFORE STRATEGY	AFTER STRATEGY
True Cash in Hand	\$0	\$0
PARTNER TAX POSITION		
Partner Assessable Income (Alison)	—	\$25,000
Partner Tax Payable	—	\$388
Partner Medicare Levy	—	\$0

Note: The Assessable Assets (ATA) figure is identical in the Before and After columns because under the Aged Care Act 2024 (Cth), a Refundable Accommodation Deposit is counted as a resident-held asset in the aged care means test, replacing the superannuation used to fund it. The pension improvement is driven by the separate Centrelink Age Pension means test, where the RAD is exempt.

All figures are outputs of a deterministic calculation. Government rates, thresholds, and fee parameters are sourced from the current rate tables, updated in accordance with official legislative instruments. Rates are current as at 23 April 2026. Refer to the Appendix for full methodology notes.

04 BEST INTEREST DUTY

Strategic Rationale

WHY THIS STRATEGY IS IN YOUR BEST INTEREST

This recommendation reflects the adviser's rationale that paying the RAD in full is the most efficient way to secure Greg's care while meeting the family's desire to keep the home. Mathematically, the strategy is superior because it eliminates a high interest cost of \$43,780 per year and triggers a real pension increase of \$16,901. Greg's Age Pension increases from \$7,823 to \$24,724 per year, an improvement that directly offsets the cost of care.

By restructuring your assets this way, we have protected the family home and ensured Alison has the cashflow needed to maintain her lifestyle and care for your dogs. The use of superannuation to fund the RAD is appropriate as it moves funds from a taxable environment into a government-guaranteed asset that is exempt from the Age Pension asset test. This is a balanced approach that prioritizes income and capital preservation.

ALTERNATIVES CONSIDERED AND DISCARDED

1. Sell the Family Home:

- Preference/goal conflict: This option directly conflicts with your non-negotiable goal of retaining the home for Alison and your dogs.
- Financial consequence: Selling the home would convert an exempt asset into assessable cash, which would increase assessable assets by the net sale proceeds and likely eliminate Greg's Age Pension entirely.

2. Pay the Daily Accommodation Payment (DAP) instead of the RAD:

- Preference/goal conflict: This conflicts with the goal to maximize pension and minimize unnecessary costs.
- Financial consequence: Choosing the DAP would cost the household \$43,780 per year in non-refundable interest and would keep your assessable assets at \$1,340,000, maintaining Greg's lower pension rate of \$7,823 rather than \$24,724.

Best interest duty: In providing this advice, we have complied with the best interest duty under s961B of the *Corporations Act 2001* (Cth). We have taken into account all information known to us about the client's relevant circumstances, conducted a reasonable investigation into products that might achieve the client's objectives, and based our advice on the results of that investigation. The alternatives described above were specifically evaluated and discarded for the reasons stated, in accordance with s961G (appropriate advice) and s961H (civil liability — appropriate advice).

6 NON-CLINICAL CARE CONTRIBUTION (NCCC)

Means-Tested Fee Calculation — Calculation Detail

The following is a plain-English explanation of how the Non-Clinical Care Contribution (NCCC) was calculated for this client, using the actual figures produced by the calculation. This section is provided to give full transparency over the means-tested fee outcome and to allow the adviser and client to verify every step of the government's assessment formula.

Asset Tested Amount (ATA): Total Assessable Assets of \$670,000 minus the Asset Free Threshold of \$536,384, multiplied by 7.8%, gives an annual ATA of \$10,422. **Income Tested Amount (ITA):** Total Assessable Income of \$30,787 minus the Income Free Threshold of \$138,341, multiplied by 50%, gives an annual ITA of \$0. **Daily Rate:** The ATA and ITA are added together and divided by 365 to produce a daily uncapped rate of \$28.55. This did not hit the government daily cap, resulting in a final daily Non-Clinical Care Contribution (NCCC) of \$28.55.

Note on Assessable Assets: The Assessable Assets figure above is the same in both the Before and After columns. This is correct under the Aged Care Act 2024: when a RAD is funded from superannuation, the RAD is counted as a resident-held asset in the aged care means test, replacing the superannuation that funded it — the aged care asset pool is conserved. The pension improvement arises from the Centrelink Age Pension means test, where the RAD is exempt — reducing pension-assessable assets from \$1,340,000 to \$790,000. These are two separate means tests governed by different legislation. The difference in Assessable Income ITA between the Before and After columns reflects the reduction in deeming income after superannuation assets are commuted to fund the RAD.

Risks, Fees, Authority & Appendices

Consequences & Risks · Remuneration & Fees · Ongoing Services · Implementation Schedule · Authority to Proceed · Appendix

07 RISK DISCLOSURE

Consequences & Risks

MATERIAL RISKS OF THE RECOMMENDED STRATEGY

The main risk is that the structured drawdown from superannuation is relatively high. If investment markets perform poorly or Alison stops working sooner than expected, the remaining super balance will deplete faster than projected. We mitigate this by using the RAD as a 'safe' capital store and will review the drawdown rate annually to ensure Alison's long-term needs are met.

STANDARD RISK DISCLOSURES

Legislative and regulatory risk: The benefits, fees, and thresholds described in this SOA are subject to change by Commonwealth legislation, regulation, and ministerial determination. Changes to Age Pension means-testing thresholds, superannuation preservation rules, aged care fee structures, or taxation law may materially alter projected outcomes. The adviser cannot guarantee the legislative environment will remain unchanged.

Inflation and real return risk: All projections are expressed in today's dollars unless stated otherwise. Inflation erodes the purchasing power of fixed amounts such as government pensions, fee caps, and savings balances. The real value of projected outcomes may be materially lower than nominal values presented.

Sequencing risk: The order in which investment returns are realised can significantly affect the sustainability of drawdown strategies. Poor returns in early retirement or during transition to aged care can permanently impair a portfolio's ability to fund ongoing costs, even if long-run average returns are consistent with projections.

Health and longevity risk: Projections assume a specified planning horizon. If the client lives significantly longer than modelled, additional costs — including ongoing aged care fees, medical expenses, and living costs — may not be fully funded by the recommended strategy.

Information risk: This advice is based on information provided by the client. If any information is incomplete, incorrect, or has changed, the advice may be inappropriate. The client must notify the adviser of any material change in circumstances before acting.

Remuneration & Fees

ADVICE FEE SCHEDULE

The following fees are payable for the advice in this Statement of Advice. All amounts are inclusive of GST where applicable.

FEE TYPE	AMOUNT (INCL. GST)	WHEN PAYABLE
Initial / Upfront Advice Fee Covers preparation of this SOA, strategy modelling, client meetings, and implementation coordination.	\$3,300	Upon signing Authority to Proceed
Ongoing Annual Service Fee Covers annual review of strategy, monitoring of legislative changes, and ongoing access to adviser.	\$5,500 p.a.	Annually in advance
Total First-Year Cost	\$8,800	

CONFLICTS OF INTEREST & REMUNERATION DISCLOSURE

No conflicted remuneration: The fees disclosed above represent the total remuneration receivable by the adviser and the advice licensee in connection with this advice. We do not receive commissions, volume bonuses, soft-dollar benefits, or any other form of conflicted remuneration from product issuers, in accordance with the prohibition under Part 7.7A of the *Corporations Act 2001* (Cth).

Right to withdraw: You may instruct us to cease implementing this advice at any time before implementation is complete. Where an upfront fee has been paid and implementation has not commenced, we will refund the fee less any reasonable costs already incurred.

Ongoing service agreement: The ongoing annual fee is payable under a separate Ongoing Fee Arrangement (OFA) requiring annual renewal under the *Financial Sector Reform (Hayne Royal Commission Response) Act 2020*. You will receive a Fee Disclosure Statement and renewal notice annually. You may cancel the OFA at any time. A separate Ongoing Fee Arrangement document will be provided to you prior to implementation of this advice. The ongoing annual fee described above is not payable until that document has been signed and returned.

ASIC RG97: Where this SOA involves managed investment products, fees above are adviser service fees only and exclude each product's Management Expense Ratio (MER) or indirect cost ratio. Product-level fees are disclosed in the relevant Product Disclosure Statement (PDS).

9 SECTION

Ongoing Services

As part of our ongoing advice relationship, we will provide the following services under an Ongoing Fee Arrangement (OFA) as required under ASIC Regulatory Guide 245 and the Corporations Act 2001.

ANNUAL REVIEW

We will conduct a comprehensive annual review approximately 12 months after implementation, covering: assessment of your position against original projections; investment portfolio performance and asset allocation review; evaluation of whether strategy remains appropriate; impact assessment of legislative or regulatory changes; updated recommendations where circumstances have changed.

PORTFOLIO MONITORING & REBALANCING

We will monitor your portfolio on an ongoing basis and rebalance where allocation diverges materially from your agreed target, or where rebalancing maintains tax efficiency or contribution-limit compliance.

LEGISLATIVE UPDATE NOTIFICATIONS

We will notify you of material changes to superannuation, tax, social security, and aged care legislation that affect your strategy, proactively where changes require a material review.

CENTRELINK & GOVERNMENT BENEFIT ASSISTANCE

Where applicable, we will assist with ongoing Centrelink reporting requirements and provide support relating to changes in government benefit entitlements.

TERMINATION

You may terminate the ongoing service arrangement at any time by written notice. Fees paid in advance for services not yet rendered will be refunded pro-rata within 30 days of receipt of written notice.

10 SECTION

Implementation Schedule

Implement steps in the sequence listed to ensure efficiency and avoid unintended tax, social security, or compliance consequences.

STEP	ACTION	RESPONSIBLE	TIMEFRAME
1	Sign and return Authority to Proceed	Client	Immediately
2	Pay upfront advice fee	Client	Within 14 days
3	Execute superannuation commutation and RAD transfer	Adviser & Client	Within 30 days
4	Lodge SA457 with Services Australia	Adviser	Within 14 days of RAD transfer
5	Update Centrelink illness-separated status	Adviser & Client	Within 14 days of RAD transfer
6	Confirm implementation with institutions	Adviser	On completion
7	Schedule first annual review	Adviser	~11 months post-implementation

Note: Product application forms and PDSs will be provided separately. Read all product disclosure documents carefully before signing.

11 CLIENT INSTRUCTION

Authority to Proceed

By signing this Authority to Proceed, you confirm that you have read and understood this Statement of Advice in its entirety, that you accept the recommendations made, and that you authorise your adviser to implement the strategy as described. You acknowledge that you have been given the opportunity to ask questions and that all questions have been answered to your satisfaction.

I/We, the client(s) named in this Statement of Advice, confirm the following:

1. I/We have read and understood this Statement of Advice dated 23 April 2026.
2. I/We acknowledge that the advice is based on the personal circumstances and financial information I/we have provided, and that it is my/our responsibility to ensure that information is accurate and complete.
3. I/We acknowledge that if my/our circumstances change, I/we must notify my/our adviser immediately, as this advice may no longer be appropriate.
4. I/We understand that the fees disclosed in Section 8 — Remuneration & Fees are payable in connection with this advice, and I/we authorise payment of those fees as described.
5. I/We authorise my/our adviser to proceed with implementing the recommendations in this Statement of Advice.

Client signature

Greg

Date

Partner / joint applicant signature

Date

Adviser signature

Authorised Representative

Date

Returning a signed copy of this Authority to Proceed constitutes a legally binding instruction to implement the recommendations described in this Statement of Advice. If you choose not to proceed with all recommendations, discuss your specific instructions with your adviser before signing. This SOA expires 30 days from the date of preparation unless an extension is agreed in writing.

12 SECTION

Adviser

Declaration

I declare that I am an Authorised Representative of the advice licensee and that I am authorised to provide the financial product advice contained in this Statement of Advice.

I acknowledge that a copy of this Statement of Advice has been provided to Greg and Alison on 23 April 2026.

I declare that this document is an accurate and complete record of the advice provided, prepared in accordance with my obligations under the Corporations Act 2001, applicable ASIC Regulatory Guides, and the professional standards of the financial planning profession.

I declare that I have complied with the best interests duty and related obligations under Part 7.7A of the Corporations Act 2001, and that this advice is appropriate for the client's objectives, financial situation, and needs.

Authorised Financial Adviser

Authorised Representative

Date

Date of Statement of Advice: 23 April 2026
AFSL No.: XXXXXX | Authorised Representative No.: XXXXXX

A

APPENDIX

Mathematical Detail &

Assumptions

CALCULATION METHODOLOGY

Aged care fee calculations are performed using the Non-Clinical Care Contribution (NCCC) and Hotelling Supplement Contribution (HSC) formula prescribed under the *Aged Care Act 2024* (Cth) and the *Aged Care Rules 2025* (Cth), which commenced on 1 November 2025. The calculation applies the current government-set asset free threshold, income free threshold, tiered asset levy rates (17.5% Tier 1; 7.8% Tier 2; 7.8% Tier 3), income taper rate (50.0%), daily caps (NCCC: \$107.32/day; HSC: \$22.15/day), and a lifetime cap of \$137,917.01, sourced from the live rate table current as at 23 April 2026. Greg entered residential care on 23 April 2026 and is assessed under the post-1 November 2025 framework as a non-grandfathered resident.

Tax calculations are performed using the marginal rate schedule and Low Income Tax Offset (LITO) parameters sourced from the current rate table as at 23 April 2026. Medicare Levy is calculated at the statutory rate. SAPTO eligibility is applied where indicated. Figures exclude the Medicare Levy Surcharge unless explicitly modelled.

Wealth projections are performed using client income, salary sacrifice elections, mortgage repayments, and superannuation contribution parameters. Projections assume rates and legislative parameters are constant at current levels unless stated otherwise.

GOVERNMENT RATE SOURCES

All government rates, thresholds, and fee parameters are sourced from official Commonwealth legislative instruments, Department of Health and Aged Care (DoHAC) and Department of Social Services (DSS) rate tables, and Services Australia publications current as at 23 April 2026. These rates are subject to indexation and legislative change. The adviser is responsible for ensuring rate tables are current at the time of advice delivery.

Key sources: *Aged Care Act 2024* (Cth); *Aged Care Rules 2025* (Cth); *Social Security Act 1991*; *Income Tax Assessment Act 1997*; ASIC Regulatory Guides RG175, RG244, RG271, RG274; *Financial Planners and Advisers Code of Ethics 2019*.

MODELLING ASSUMPTIONS

The following assumptions apply throughout this document unless a specific figure is stated: all projections use constant (nominal) dollars; inflation is not explicitly modelled unless described; tax rates and thresholds are assumed constant at current levels; investment returns are not projected (calculations reflect a point-in-time position only); government means-tested benefits are calculated on a current-year basis and do not account for future changes to the client's asset or income position; fees and costs shown are estimates only and may vary.

Following the primary client's modelled mortality, the surviving partner's annual living expenses are projected at 70% of the couple's baseline, reflecting the reduction in household costs.

Narrative sections in this document were drafted under compliance and privacy guardrails and reviewed before delivery.

SYSTEM CONSTANTS & GLOBAL RULES

The following rate parameters were active at the time this document was generated. All values are sourced from the live rate tables as at 23 April 2026.

VALUE	DESCRIPTION
7.96%	Maximum Permissible Interest Rate (MPIR)
\$31,223.40	Maximum Base Age Pension - Single
\$47,070.40	Maximum Base Age Pension - Couple
1.25%	Deeming Rate - Lower Tier
3.25%	Deeming Rate - Upper Tier
\$64,200	Deeming Threshold - Single
\$106,200	Deeming Threshold - Couple
\$300	Centrelink Work Bonus - Fortnightly
\$321,500	Assets allowed for FULL Pension - Single Homeowner
\$481,500	Assets allowed for FULL Pension - Couple Homeowner
\$579,500	Assets allowed for FULL Pension - Single Non-Homeowner
\$739,500	Assets allowed for FULL Pension - Couple Non-Homeowner
\$722,000	Assets where Pension CUTS OFF - Single Homeowner
\$1,085,000	Assets where Pension CUTS OFF - Couple Homeowner
\$980,000	Assets where Pension CUTS OFF - Single Non-Homeowner
\$1,343,000	Assets where Pension CUTS OFF - Couple Non-Homeowner
\$3	Pension reduction per \$1k assets - Single (Fortnightly)
\$1.50	Pension reduction per \$1k assets - Couple (Fortnightly)
\$1,000	Asset reduction block size (\$1k)
\$78	Annual pension reduction per \$1k assets - Single
\$39	Annual pension reduction per \$1k assets - Couple
50.00%	Age Pension income taper - Single and Mixed-Eligibility (50 cents per dollar of excess income)
25.00%	

VALUE	DESCRIPTION
	Age Pension income taper - Standard Couple per partner (25 cents per dollar of combined excess income)
\$218	Income allowed before pension reduces - Single (Fortnightly)
\$380	Income allowed before pension reduces - Couple (Fortnightly)
\$66.80	Aged Care Basic Daily Fee
\$72.30	Maximum Accommodation Supplement (Gov Subsidy)
\$22.15	Hotelling Supplement Contribution Cap
\$107.32	Non-Clinical Care Contribution Cap (Daily)
\$137,917.01	Lifetime Cap for Non-Clinical Care
\$214,884	Home Exemption Cap for Aged Care Assets
\$64,500	Minimum liquid assets to leave client after RAD
\$214,884	Means Test Asset Tier 1 - Upper Limit
\$258,000	Means Test Asset Tier 2 - Lower Threshold
\$361,366.66	Means Test Asset Tier 2 - Upper Limit
\$536,384	Means Test Asset Tier 3 - Lower Threshold
17.50%	Means Test Asset Levy Rate - Tier 1
7.80%	Means Test Asset Levy Rate - Tier 2
7.80%	Means Test Asset Levy Rate - Tier 3
\$35,313.20	Means Test Income Tier 1 Lower Threshold - Single
\$87,947.60	Means Test Income Tier 1 Upper Limit - Single
\$101,105	Means Test Income Tier 2 Lower Threshold - Single
\$117,230.20	Means Test Income Tier 2 Upper Limit - Single
\$141,252.80	Means Test Income Tier 3 Lower Threshold - Single
\$34,585.20	Means Test Income Tier 1 Lower Threshold - Couple

VALUE	DESCRIPTION
\$87,219.60	Means Test Income Tier 1 Upper Limit - Couple
\$101,105	Means Test Income Tier 2 Lower Threshold - Couple
\$117,230.20	Means Test Income Tier 2 Upper Limit - Couple
\$138,340.80	Means Test Income Tier 3 Lower Threshold - Couple
50.00%	Means Test Income Assessment Rate (50 cents per dollar)
\$66.80	Basic Daily Fee (100% of basic pension)
\$536,384	New Asset Free Area for NCCC (Fourth Asset Threshold)
\$141,252.80	New Income Free Area for NCCC - Single (Fourth Income Threshold)
\$138,340.80	New Income Free Area for NCCC - Couple (Fourth Income Threshold)
2026-06-30	Date the current Centrelink and Aged Care rules expire
Min \$0; Max \$18,200; Base \$0; Rate \$0	Tax-free threshold
Min \$18,200; Max \$45,000; Base \$0; Rate 16.00%	16c for each \$1 over \$18200
Min \$45,000; Max \$135,000; Base \$4,288; Rate 30.00%	30c for each \$1 over \$45000
Min \$135,000; Max \$190,000; Base \$31,288; Rate 37.00%	37c for each \$1 over \$135000
Min \$190,000; Max \$999,999,999; Base \$51,638; Rate 45.00%	45c for each \$1 over \$190000
Min \$0; Max \$37,500; Base \$700; Rate \$0	Maximum LITO entitlement
Min \$37,500; Max \$45,000; Base \$700; Rate 5.00%	Reduces by 5c for every \$1 over \$37500
Min \$45,000; Max \$66,667; Base \$325; Rate 1.50%	Reduces by 1.5c for every \$1 over \$45000

VALUE	DESCRIPTION
Min \$0; Max \$27,222; Base \$0; Rate \$0	No Medicare Levy payable
Min \$27,222; Max \$34,027; Base \$0; Rate 10.00%	10% of the amount over \$27,222 (phase-in shading threshold)
Min \$34,027; Max \$999,999,999; Base \$0; Rate 2.00%	Flat 2% of entire taxable income
Min \$0; Max \$43,020; Base \$0; Rate \$0	Seniors (Age Pension age) No Levy
Min \$43,020; Max \$53,775; Base \$0; Rate 10.00%	Seniors 10% phase-in over \$43,020 (phase-in shading threshold)
Min \$53,775; Max \$999,999,999; Base \$0; Rate 2.00%	Seniors Flat 2% of entire income
Min \$0; Max \$999,999,999; Base \$0; Rate 30.00%	Standard Company Tax Rate
Min \$0; Max \$999,999,999; Base \$0; Rate 25.00%	Small Business Company Tax Rate
Min \$0; Max \$34,919; Base \$2,230; Rate \$0	Maximum SAPTO Single
Min \$34,919; Max \$52,759; Base \$2,230; Rate 12.50%	Reduces by 12.5c per \$1 over 34919
70%	Following the primary client's modelled mortality, the surviving partner's annual living expenses are projected at this percentage of the couple's baseline, reflecting the reduction in household costs.

20-YEAR CASH FLOW PROJECTION

YEAR	AGE (PRI. / SURV.)	PRIM. PENSION	PART. PENSION	TOT. INFLOWS	ABP DRAWDOWN	TOT. OUTFLOWS	CASH & INV.
Year 1	70.0 / 52.0	\$24,724.40	\$0.00	\$49,724.40	\$73,552.40	\$123,276.80	\$0.00
Year 2	71.0 / 53.0	\$25,466.13	\$0.00	\$50,466.13	\$76,497.33	\$126,963.46	\$0.00
Year 3	72.0 / 54.0	\$26,230.12	\$0.00	\$51,230.12	\$79,530.61	\$130,760.73	\$0.00
Year 4	73.0 / 55.0	\$27,017.02	\$0.00	\$52,017.02	\$82,654.89	\$134,671.91	\$0.00
Year 5	74.0 / 56.0	\$27,827.53	\$0.00	\$52,827.53	\$85,872.89	\$138,700.42	\$0.00
Year 6	75.0 / 57.0	\$28,662.36	\$0.00	\$53,662.36	\$89,187.44	\$142,849.80	\$0.00
Year 7	76.0 / 58.0	\$29,522.23	\$0.00	\$54,522.23	\$92,601.42	\$147,123.65	\$0.00
Year 8	77.0 / 59.0	\$30,407.89	\$0.00	\$55,407.89	\$96,117.83	\$151,525.72	\$0.00
Year 9	78.0 / 60.0	\$31,320.13	\$0.00	\$56,320.13	\$99,739.72	\$156,059.85	\$0.00
Year 10	79.0 / 61.0	\$32,259.73	\$0.00	\$57,259.73	\$46,717.74	\$160,730.01	\$-60,157.68
<i>Note: Projected balance is negative. Superannuation and cash assets are insufficient to cover all outflows at this point. An adviser review is recommended before this year to plan for the funding shortfall.</i>							
Year 11	— / 62.0	\$0.00	\$0.00	\$25,000.00	—	\$73,067.30	\$412,267.34
<i>Note: The \$497,156 Refundable Accommodation Deposit (net of facility retention) has been returned to the estate, resulting in the material increase in liquid assets shown. Living expenses from this year reflect the surviving partner's household only.</i>							
Year 12	— / 63.0	\$0.00	\$0.00	\$25,000.00	—	\$75,259.32	\$383,728.51
Year 13	— / 64.0	\$0.00	\$0.00	\$25,000.00	—	\$77,517.10	\$351,084.10
Year 14	— / 65.0	\$0.00	\$0.00	\$25,000.00	—	\$79,842.61	\$314,015.98

YEAR	AGE (PRI. / SURV.)	PRIM. PENSION	PART. PENSION	TOT. INFLOWS	ABP DRAWDOWN	TOT. OUTFLOWS	CASH & INV.
Year 15	— / 66.0	\$0.00	\$0.00	\$25,000.00	—	\$82,237.89	\$272,184.77
Year 16	— / 67.0	\$0.00	\$36,196.01	\$61,196.01	—	\$84,705.02	\$263,596.31
Year 17	— / 68.0	\$0.00	\$37,281.89	\$62,281.89	—	\$87,246.18	\$252,949.95
Year 18	— / 69.0	\$0.00	\$38,400.35	\$63,400.35	—	\$89,863.56	\$240,075.95
Year 19	— / 70.0	\$0.00	\$39,552.36	\$64,552.36	—	\$92,559.47	\$224,792.97
Year 20	— / 71.0	\$0.00	\$40,738.93	\$65,738.93	—	\$95,336.25	\$206,907.39

ABP Drawdown reflects total annual drawdown from Account-Based Pension balances including mandatory minimum and additional structured drawdowns used to fund the income shortfall.

Total Inflows includes all gross household income — Age Pension receipts and employment or other income. Alison's employment income of \$25,000.00 per annum (gross) is included in Total Inflows; the estimated annual tax on this income (\$388.00) is included in Total Outflows.

B APPENDIX

Standard Risk Definitions

Market Risk · Legislative Risk · Inflation Risk · Sequence of Returns Risk · Longevity Risk · Concentration Risk · Currency Risk · Credit Risk · Liquidity Risk · Counterparty Risk · Interest Rate Risk · Behavioural Risk

MARKET RISK

The risk that the value of investments will decrease due to movements in market factors such as equity prices, interest rates, foreign exchange rates, and commodity prices.

LEGISLATIVE RISK

The risk that changes to legislation, regulation, or government policy will adversely affect the financial position, benefits payable, or strategy outcomes described in this advice.

INFLATION RISK

The risk that the purchasing power of money will decline over time, eroding the real value of income, savings, and investment returns.

SEQUENCE OF RETURNS RISK

The risk that the timing of investment returns — particularly negative returns in early drawdown years — will permanently impair portfolio sustainability, even where long-run average returns meet projections.

LONGEVITY RISK

The risk that a client outlives their financial resources. As life expectancy increases, strategies must account for the possibility of a longer-than- expected planning horizon.

CONCENTRATION RISK

The risk of outsized losses arising from overexposure to a single asset, sector, geography, or counterparty.

CURRENCY RISK

The risk that changes in foreign exchange rates will adversely affect the value of assets or liabilities denominated in foreign currencies.

CREDIT RISK

The risk that a counterparty to a financial transaction will default on its obligations, resulting in financial loss.

LIQUIDITY RISK

The risk that an asset cannot be sold quickly enough to prevent or minimise a loss, or that an investor cannot access funds when required.

COUNTERPARTY RISK

The risk that the other party in a financial agreement will not fulfil their contractual obligations.

INTEREST RATE RISK

The risk that changes in interest rates will adversely affect the value of interest-bearing assets or the cost of liabilities.

BEHAVIOURAL RISK

The risk that investor behaviour — such as panic selling during market downturns or deviation from the agreed strategy — will result in suboptimal financial outcomes.